

Later, market research had shown that the breathtaking crypto bubble happened due to coordinated price manipulation. Tether, another crypto coin, was accused of playing a part in this manipulation.

Even without the backup of this research, what happened in the 2017-2018 period marks the first boom in the history of BTC. More importantly, investors started viewing the asset as potentially risky and capable of building a speculative bubble. Even Nobel laureates in Economic Sciences opinionated that cryptocurrencies are speculative bubbles, comparing them to the Dot-com bubble in 2002.

The value drops also created an impression among investors that Bitcoin is a 'mirage,' 'bubble,' or 'fraud.' Some business executives, such as Jack Ma and Jamie Dimon, went to the extent of calling Bitcoin a 'fraud.' However, the latter said he regretted the decision. We could easily say that the Bitcoin-is-a-bubble narrative had its origins at this time.

## THE CONSTITUENTS

One problem with the 2017 cryptocurrency boom was that we didn't know what caused it. Indeed, there are a few speculations, but they are not conclusive. However, in the ongoing crypto boom, we have a better vantage point to analyze how BTC acquired so much value. We have to consider at least two crucial factors from this.

### 1. Mainstream Acceptance

Despite the cult following it has developed over the past decade, cryptocurrencies haven't become what you may call 'mainstream.' However, following the COVID-19 pandemic and the shift to digital methods of living and trade, there was this idea of pushing Bitcoin and a few other Crypto Assets to become an easy-to-access platform for payment. In addition

to more and more businesses accepting cryptocurrency coins as payment, decisions from a few companies played a crucial role.

One of them was PayPal, which allowed customers to use cryptocurrencies for purchases. This decision was a massive leap in the acceptance of Bitcoin, and many other organizations had followed. On the other side of the spectrum, organizations started



Nicosia University in Cypress that accepts Bitcoin for fees

Credit: CoinDesk

launching inaugural Bitcoin funds, where wealthy people can invest in Crypto Assets. Considering that small companies also started accepting cryptocurrency payments, it is not surprising that investors sensed an increasing mainstream acceptance of cryptocurrencies, especially BTC.

### 2. Influential Evangelists

In the world of cryptocurrencies, a few things matter more than numbers. As we have seen, investors make decisions based on even the slightest expectations of profit.

Then, it is no surprise that when billionaire entrepreneur Elon Musk, founder of Tesla and SpaceX, decided to add "#bitcoin" to his Twitter bio, the price of Bitcoin saw a surge of 15%, taking the price to more than \$38,000. Of course, people assumed that Elon Musk is into Bitcoin investments. Later, on the 4th of February 2021, Musk tweeted about Dogecoin, thereby sending the cryptocurrency price to an all-time high.

The curious thing here is that Dogecoin was a cryptocurrency token made to ridicule the rise of altcoins in the market. Finally, on the 8th of

February, Tesla announced that it plans to accept Bitcoin as payment for its EVs and invest \$1.5 billion in Bitcoin. The announcement increased the price of Bitcoin by another 20%.

However, Elon Musk is not the only influential person to support cryptocurrency's growth. For instance, Mark Cuban, the billionaire known for Shark Tank and other ventures, said he would consider cryptocurrency and associated technologies to start a business today. Unlike Elon Musk, though, Mark Cuban has not explicitly advocated cryptocurrency investments. Nor have we seen any movements from entities that are affiliated to Cuban.

At a point, on the 11th of January 2021, Mark Cuban had even compared the ongoing crypto boom to the internet stock bubble. However, he said he believed that Bitcoin would survive but added that many others would not. Cuban has, in the past, said that Bitcoins are more like religions than solutions to any problem.

To borrow the words from Mark Cuban, the religion of Bitcoin and cryptocurrencies acquired more followers when big guns in the market like Elon Musk showed the slightest interest in crypto investments.

## THE NEW GOLD

The soaring prices of Bitcoin have started another common narrative. It compares Bitcoin to gold and aims to use the cryptocurrency coin to fight against inflation. Although it poses the risk of volatility, many traders now consider BTC to fight inflation. There are a few reasons why. First, Bitcoin has a very limited supply compared to that of gold. Second, miners can't create as many Bitcoins as they want. Therefore, the investors started considering Bitcoin as digital gold, which could be used for long-term investments.

Experts in the field say that if Bitcoin is to acquire a universal status akin to digital gold, the coin can surpass what we see as the limit, reaching a value close to \$150,000.

## POTENTIAL 'BUBBLE'

Similar to how Elon Musk has